

Avenue Supermart

Weighted Average Cost of Capital

All figures are in INR unless stated otherwise.

Peer Comps

Name of the Comp	Country	Total Debt	Total Equity	Tax rate ¹	Debt/ Equity	Debt/ Capital	Levered Beta ²	Unlevered Beta ³
Avenue Super.	India	1,609.2	2,83,875.8	30.00%	0.57%	0.56%	0.89	0.89
Eternal	India	3,351.0	2,23,617.9	30.00%	1.50%	1.48%	1.23	1.22
Trent	India	2,348.6	1,26,219.4	30.00%	1.86%	1.83%	1.25	1.23
Swiggy	India	2,491.0	76,005.2	30.00%	3.28%	3.17%	1.07	1.05
Average				30.00%	1.80%	1.76%	1.11	1.10
Median				30.00%	1.68%	1.65%	1.15	1.13

Cost of Debt

Pre-Tax Cost of Debt	7.46%
Tax Rate	30%
Post-Tax Cost of Debt	5.22%

Cost of Equity

Risk Free Rate	7.04%
Equity Risk Premium	8.11%
Levered Beta ⁴	1.15
Cost of Equity	16.34%

Capital Structure

		Current	Target
Total Debt	1,609.2	0.56%	1.76%
Market Capitalization	2,83,875.8	99.44%	98.24%
Total Capital	2,85,485.0	100.00%	100.00%
Debt / Equity		0.57%	1.79%

Levered Beta

Comps Median Unlevered Beta	1.13
Target Debt / Equity	1.79%
Tax Rate	30%
Levered Beta	1.15

Weighted Average Cost of Capital

Cost of Equity	16.34%
Equity Weight	98.24%
Cost of Debt	5.22%
Debt Weight	1.76%
WACC	16.15%

Notes

1. Tax Rate considered as Marginal Tax Rate of the company
2. Levered Beta is based on 5 year monthly data
3. Unlevered Beta = Levered Beta / (1 + (1 - Tax Rate) * Debt/Equity)
4. Levered Beta = Unlevered Beta * (1 + (1 - Tax Rate) * Debt/Equity)